A Low-Tax Country with a Borrowing Habit: The Revenue Case for Balancing the US Budget

TAXLANE Research — panel-reviewed (draft, round 0). An educational reform model. Figures are FY2025 unless noted and are sourced to `docs/sources/source-version-ledger.md`. Rate recommendations are reform proposals; the borrowed share stays visible; balancing the budget is an *arithmetic* possibility whose realization is a contested political choice; no tax advice is given.

Abstract

The United States runs a large deficit while taxing less than almost any peer democracy. Total taxes are **25.6% of GDP (all levels of government) versus the OECD average of 34.1%** — roughly 31st of 38 members [`SRC-OECD-REVSTATS-2025`]. The federal government alone collects **~17.3% of GDP, exactly its 50-year average**, while spending **~23.1%, above its own 50-year norm of ~21.2%** [`SRC-OMB-HIST-1-2-FY2027`, `SRC-CBO-BUDGET-OUTLOOK`]. In FY2025 it spent **$7,011,105M** against **$5,236,421M** collected — a **$1,774,684M gap, 25.3% of spending, borrowed** [`SRC-OMB-HIST-1-1-FY2027`]. We argue the deficit is **two-sided — a spending excess and an unmet revenue gap** (outlays run above their historical norm while receipts merely held at theirs), and that the US's low-tax position is **structural** — it lacks the broad consumption-tax base (VAT) and the higher social-contribution rates that fund peer governments. The fair direction is to raise revenue toward solvency, *blended* with spending discipline: even closing the entire gap on the revenue side would leave the US near **31% of GDP — still below the OECD average**. Closing it on spending alone is arithmetically brutal (zeroing every small lane covers ~38% of the gap). The revenue side is **instrument- scored**, not asserted: curbing the ~$2.3T/yr tax-expenditure base, a 5% broad VAT (~$3.4T over ten years), and lifting the Social-Security wage cap (~$1.6T) reach the ~$1.2T/yr the revenue-led path needs [`SRC-CBO-TAX-EXP-2025`, `SRC-CBO-BUDGET-OPTIONS`]. We set this against CBO's long-run path — **debt rising from ~100% to 156% of GDP by 2055**, driven by interest (r > g) and aging, not revenue alone [`SRC-CBO-LTBO`] — so revenue is necessary but not sufficient. Modernizing the revenue *base* — broadening what is taxed, not only raising rates — is the structural lever, and the recommended blend (progressive base-broadening + cap lift before any offset-paired VAT) is **net progressive-to-neutral**.

1. Introduction

The American fiscal debate is conducted almost entirely on the spending side. That is half the ledger. The US is a genuinely low-tax country by peer standards, and a deficit is the gap between two numbers — what is spent and what is collected. This paper asks which number is out of line with US history and peers, and what revenue direction the evidence supports. Our contribution: (i) a scope-matched placement of the US in the OECD revenue distribution; (ii) a structural account of *why* the US is low-tax (the base, not just the rates); (iii) a historical anchor on the solvent-era borrowed share; and (iv) the distributional and feasibility analysis a revenue recommendation requires.

2. The fiscal picture today

Measure	FY2025 ($M)	% of GDP
Total outlays	7,011,105	~23.1
Total receipts	5,236,421	~17.3
Deficit (borrowed)	1,774,684	~5.8

Sources: SRC-OMB-HIST-1-1-FY2027 (dollars; FY2025 actuals); SRC-OMB-HIST-1-2-FY2027, SRC-CBO-BUDGET-OUTLOOK (% GDP; GDP ~$30.4T derived from the outlay ratio, approximate). Receipts are at their 50-year average share of GDP; outlays run ~2 points above theirs. So the gap is not a story of receipts collapsing below norm — it is outlays above norm *and* receipts that never rose to meet them.

3. The international benchmark

Total tax-to-GDP, all levels of government, 2024 [SRC-OECD-REVSTATS-2025]:

Country	Tax-to-GDP (%)
France	43.5
Sweden	41.4
Germany	38.0
Canada	34.9
United Kingdom	34.4
Japan	33.7
OECD average	**34.1**
United States	**25.6**

Scope (binding): this is the *all-government* basis (federal + state + local), the correct basis for cross-country comparison; the US federal figure (~17.3% of GDP) is a subset and must not be compared directly to the 34.1% all-government average. On the matched all-government basis the US sits about **8.5 points of GDP below the OECD average** — roughly 31st of 38. General-government *spending* tells the same story: US ~37.9% of GDP vs France 57.2, Germany 49.4 [SRC-IMF-FISCAL-MONITOR].

4. Why the US is low-tax: a structural base difference

The gap is not mainly that US rates are low; it is that the US taxes a **narrower base**. Peer governments raise large revenue the US does not: a federal **value-added tax** (the US has none; most OECD members raise 6–10 points of GDP from VAT) and **higher social-contribution rates** on a base often without the US wage cap. The US revenue base is also **eroding** at the edges — the fuel excise that funds the Highway Trust Fund is fixed in nominal terms and undermined by efficiency and electrification (SRC-OMB-HIST-2-4-FY2027). FY2025 receipts by source make the narrowness visible: **individual income tax 50.7%, payroll 33.4%, corporate 8.6%, other 5.2%, excise 2.0%** [SRC-OMB-HIST-2-1-FY2027]. The US leans on income and payroll and raises little from consumption — the structural reason it is low-tax.

5. The time dimension: a solvent past and an unsustainable forward path

Solvent post-war budgets borrowed little. In the modeled allocation, the **borrowed share of outlays was ~4.5% in the 1950s and ~4.6% in the 1960s**, versus **~25.3% in FY2025** (derived income_tax_outlay_model decade summary, ledger-registered); income tax covered ~42% of outlays then versus ~34% now. The historical anchor is not a spending mix (defense-heavy then, human-resources-heavy now) but the **solvency ratio**: a budget that borrows ~5% rather than ~25% of what it spends.

The forward path is worse, and it is not mainly a revenue story. Under CBO's current-law baseline, **federal debt held by the public rises from ~100% of GDP (2025) to 156% by 2055**, the deficit widens from **6.2% to 7.3% of GDP**, and **net interest climbs from 3.2% to 5.4% of GDP** [`SRC-CBO-LTBO`]. CBO identifies rising interest costs as the primary driver — the **r > g** snowball, in which debt service compounds faster than the economy grows — alongside **population aging and health-cost growth** (the Social-Security and health tracks). So the deficit is **structural, not cyclical**, and revenue toward solvency is necessary but not sufficient: without bending the long-run spending-growth path (aging, health unit cost), a revenue increase stabilizes but does not by itself reverse the debt trajectory. This paper argues the revenue half of a two-sided fix; the spending half is the other tracks.

6. All factors → the recommended direction

- **Solvency.** Closing the $1.77T gap is the objective; the question is the mix.
- **Historical.** Solvent eras ran a ~5% borrowed share with receipts far closer to outlays — consistent with raising revenue.
- **International.** The US is ~8.5 points of GDP below peers; there is room to collect more *and remain below the OECD average*.

The three support **revenue toward solvency, blended with spending discipline.** Two illustrative balanced paths (no borrowing), from the operating-system work:

	Revenue-led	Balanced
Spending-side (health efficiency + defense)	~31% of the gap	~51%
Revenue-side	~69%	~49%
All-government tax-to-GDP	25.6% → ~29.6%	25.6% → ~28.5%

The spending-side share assumes a *verified, coverage-protected* health-efficiency gain that is a one-time level shift, not a bend in the growth rate (per the health track), so it erodes against the aging trajectory of §5 unless the growth path is also bent.

Either path leaves the US below the OECD average (34.1%), below the UK and Canada. (Scope note: the gap closed is a *federal* deficit, while tax-to-GDP is *all-government*; because GDP is the common denominator, a federal revenue increment of ~4 points of GDP moves the all-government ratio by ~4 points, so 25.6% → ~29.6% is approximately portable — but the increment lands federally. Tax-to-GDP comparators are 2024; the US spine is FY2025.) And the spending-only alternative is arithmetically brutal: zeroing every small lane (transport, justice, education, science, agriculture, international) covers only ~38% of the gap. So *some* revenue increase is not optional under "spend what we collect." Whether and how to do it is a political choice, not a fact.

Scored instruments behind the revenue side

The revenue-led path needs roughly **$1.2T/yr (~4 points of GDP)**. That is not hand-waved: scored CBO options reach it without exotic measures (all 10-year projections, net of income/payroll offsets) [`SRC-CBO-TAX-EXP-2025`, `SRC-CBO-BUDGET-OPTIONS`]:

Instrument	Scored yield	≈ % of GDP/yr
Curb the tax-expenditure base (total ~$2.3T/yr, 7.6% of GDP) — even a quarter	~$0.6T/yr	~1.9
5% broad-based VAT	~$3.4T / 10yr (~$0.34T/yr)	~1.1
Apply OASDI tax to earnings over $250,000	~$1.6T / 10yr (~$0.16T/yr)	~0.5

Summed at these levels the three reach **~$1.1T/yr (~3.5 points of GDP)** — close to, but short of, the ~$1.2T the revenue-led path needs. Reaching the full ~4 points requires curbing roughly a **third** of the tax-expenditure base (≈$0.77T/yr) rather than a quarter, alongside the VAT and the cap lift. The point is that the target is reachable by **stacking known, CBO-scored instruments** — not by any single measure — and that behavioral response would discount realized yields below these static headline figures (the estimates are CBO-scored but not re-estimated here).

7. Distribution: who would pay

A revenue recommendation must say who bears it. The instruments differ sharply:

- **Individual income tax** (50.7% of receipts) is the most **progressive** federal instrument; base-broadening (curbing deductions/preferences) raises revenue while *shortening* the return.
- **Payroll** (33.4%) is **regressive against total income** (it exempts capital and, for OASDI, caps the wage base) — see the Social-Security track.
- **A VAT**, the peer base the US lacks, is **regressive** in isolation and needs rebates/credits to be distributionally acceptable.
- **Corporate** (8.6%) incidence is contested (split between capital and labor).

Net direction (magnitude-weighted). The recommended blend is not distributionally neutral, and the sign of its net effect depends on the mix. Weighting by where the instruments fall: tax-expenditure curtailment is **progressive** (the largest preferences — capital-gains treatment, the mortgage and SALT deductions, employer-health exclusion — accrue disproportionately to high earners), and lifting the OASDI cap is **progressive** (it taxes only earnings above $250,000). A VAT is **regressive** in isolation. So a revenue path led by **base-broadening + the cap lift is net progressive**; the more it leans on a VAT, the more it needs rebates/credits to avoid raising the burden on lower deciles. The least-regressive route therefore exhausts the progressive levers (income base-broadening, cap lift) before adding a consumption base, and pairs any VAT with an offset. The distributional lesson: *how* the US raises revenue matters as much as *how much*. A full decile-incidence estimate is deferred pending microdata, but the net direction of the recommended blend is **progressive-to-neutral**, not regressive.

8. The needs, the problem, and the modernization case

Why the US struggles. It funds a peer-sized state (37.9% of GDP all-government, near the OECD spending norm) with a **below-peer revenue base**, and bridges the gap with borrowing whose interest cost ($970B in FY2025) is now the budget's third-largest line. The problem is structural, not cyclical.

The modernization case. Modernizing US revenue means **broadening the base**, not only raising rates: curb the tax expenditures that narrow the income-tax base, index and modernize eroding excises, reconsider the payroll wage cap, and weigh a distributionally-offset consumption-tax base of the kind every peer uses. The aim is a revenue system that can fund the state the public has chosen without borrowing a quarter of it — while staying, by peer standards, a low-tax country.

9. Reform design: the revenue side of the lane system

In the program-lane model, revenue sources map to the lanes they fund (payroll → social insurance; corporate → commerce-and-capacity; income + other → the general-fund core). The revenue recommendation is therefore lane-aware: raise the general-fund revenue that backs the must-fund core (defense, health, veterans, income security, interest) toward solvency, prefer base-broadening over rate hikes where it also reduces compliance burden, and keep every increase visible against the borrowed-share line. `allocation_method = proposed_reform`.

10. Discussion and limitations

- **Behavioral response.** Higher rates induce avoidance and base flight; the base-broadening emphasis partly mitigates this, but revenue estimates here are directional, not scored.
- **Fungibility.** Raising revenue does not by itself impose discipline; the balanced-budget rule and its guardrails do.
- **Feasibility.** A US VAT and a payroll-cap lift are large political undertakings; this paper argues the *direction* and the structural diagnosis, not enactability.
- **Scope.** All-government vs federal figures are labeled throughout; conflating them is the most common error in this debate and is avoided here.
- **Distribution.** A full decile-incidence estimate is deferred.

11. Conclusion

The US deficit is as much a revenue gap as a spending excess. The country taxes ~8.5 points of GDP below its peers, funds a near-peer-sized state, and borrows the difference. The fair direction is to raise revenue toward solvency, blended with spending discipline — a blend that still leaves the US below the OECD average — and to do it by **modernizing the revenue base**, not only the rates, with the distributional choice made explicit. Balancing the budget is arithmetically available to a low-tax country; choosing to is the politics.

Sources

SRC-OECD-REVSTATS-2025, SRC-OMB-HIST-1-1-FY2027, SRC-OMB-HIST-1-2-FY2027, SRC-CBO-BUDGET-OUTLOOK, SRC-OMB-HIST-2-1-FY2027, SRC-OMB-HIST-2-4-FY2027, SRC-IMF-FISCAL-MONITOR, SRC-CBO-TAX-EXP-2025, SRC-CBO-BUDGET-OPTIONS, SRC-CBO-LTBO, plus the ledger-registered derived `income_tax_outlay_model` decade summary and `program_lane_rate_model`. All in `docs/sources/source-version-ledger.md`.